

**SUBSTITUTE FOR
HOUSE BILL NO. 5139**

A bill to amend 1937 PA 94, entitled
"Use tax act,"
by amending the title and sections 5 and 5c (MCL 205.95 and
205.95c), the title and section 5 as amended by 2007 PA 93 and
section 5c as added by 2019 PA 144, and by adding section 5d.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

TITLE

An act to provide for the levy, assessment, and collection of
a specific excise tax on the storage, use, or consumption in this
state of tangible personal property and certain services; to
appropriate the proceeds of that tax; to prescribe penalties; **to**
require certain information to be provided; and to make
appropriations.



Sec. 5. (1) Except as otherwise provided in this subsection or subsection (5), a person subject to the tax under this act shall register with the department and give the name and address of each agent operating in this state, the location of all distribution or sales houses or offices or other places of business in this state, and any other information that the department requires relevant to the enforcement of this act. However, a seller holding a sales tax license obtained under the general sales tax act, 1933 PA 167, MCL 205.51 to 205.78, is not required to separately register with the department under this act. Every person subject to the tax under this act shall source sales in accordance with section 20 and collect the tax imposed by this act from the consumer.

(2) The ~~corporation,~~ **corporations**, securities, and ~~land development~~ **commercial licensing** bureau of the department of ~~labor and economic growth~~ **licensing and regulatory affairs** shall not issue to any foreign corporation subject to the tax under this act a certificate of authority to do business in this state or approve and file the proposed articles of incorporation submitted to it by any domestic corporation authorizing or permitting that corporation to conduct any business subject to the tax under this act unless the corporation submits with the application for the certificate of authority or proposed articles of incorporation an application for registration of the corporation under this act or an application for a sales tax license under the general sales tax act, 1933 PA 167, MCL 205.51 to 205.78. The **corporations, securities, and commercial licensing bureau shall transmit the** application ~~shall be transmitted to the department. by the corporation, securities, and land development bureau.~~

(3) A domestic corporation or a foreign corporation authorized



1 to transact business in this state that submits a certificate of
2 dissolution or requests a certificate of withdrawal from this state
3 shall request a certificate from the department stating that taxes
4 are not due under section 27a of 1941 PA 122, MCL 205.27a, not more
5 than 60 days after submitting the certificate of dissolution or
6 requesting the certificate of withdrawal. A corporation that does
7 not request a certificate stating that taxes are not due is subject
8 to the same penalties under section 24 of 1941 PA 122, MCL 205.24,
9 that a taxpayer would be subject to for failure to file a return.

10 (4) A lessor may elect to pay use tax on receipts from the
11 rental or lease of the tangible personal property in lieu of
12 payment of sales or use tax on the full cost of the property at the
13 time it is acquired. For tax years that begin after December 31,
14 2001, in order to make a valid election under this subsection, a
15 lessor of tangible personal property that is an aircraft shall
16 obtain a use tax registration by the earlier of the date set for
17 the first payment of use tax under the lease or rental agreement or
18 90 days after the lessor first brings the aircraft into this state.

19 (5) A seller registered under the streamlined sales and use
20 tax agreement ~~who~~**that** is not otherwise subject to the tax under
21 this act is not required to register under this section because of
22 the registration under the streamlined sales and use tax agreement.

23 Sec. 5c. (1) Notwithstanding anything to the contrary in this
24 act, a marketplace facilitator that has nexus in this state shall
25 collect and remit the tax due under this act on all taxable sales
26 made by the marketplace facilitator or facilitated for marketplace
27 sellers to a purchaser in this state regardless of whether the
28 marketplace seller for whom sales are facilitated has nexus with
29 this state.



1 (2) A marketplace facilitator is a person liable for the tax
2 imposed under this act, regardless of whether the marketplace
3 facilitator makes only facilitated sales for marketplace sellers or
4 a combination of direct and facilitated sales and has all the
5 rights and duties of a taxpayer under this act.

6 (3) A marketplace facilitator shall report its direct sales
7 and the sales it facilitates to purchasers in this state in a
8 manner as prescribed by the department.

9 (4) A class action shall not be brought against a marketplace
10 facilitator in any court of this state on behalf of purchasers
11 arising from or in any way related to an overpayment of use tax
12 collected and remitted on sales facilitated by the marketplace
13 facilitator, regardless of whether that claim is characterized as a
14 tax refund claim. Nothing in this subsection affects a purchaser's
15 right to seek a refund as provided under section 14b.

16 (5) Nothing in this section affects the obligation of a
17 purchaser to remit the tax imposed by this act for a taxable
18 transaction on which a marketplace facilitator or marketplace
19 seller does not remit sales or use tax.

20 (6) Except as otherwise provided in this subsection, if a
21 marketplace facilitator is required to collect and remit tax under
22 subsection (1), the department shall audit only the marketplace
23 facilitator for sales made by marketplace sellers that were
24 facilitated by the marketplace facilitator. The department shall
25 not audit a marketplace seller for sales facilitated by a
26 marketplace facilitator required to collect and remit tax under
27 subsection (1) unless the marketplace seller fails to provide the
28 marketplace facilitator with sufficient information to the extent
29 that the marketplace facilitator is not liable under subsection



1 (7).

2 (7) A marketplace facilitator is relieved of liability under
3 this section for failure to collect and remit the correct amount of
4 tax to the extent that the marketplace facilitator demonstrates, to
5 the satisfaction of the department, that the failure was due to
6 incorrect or insufficient information given to the marketplace
7 facilitator by the marketplace seller. The relief under this
8 subsection does not apply if the marketplace seller is an affiliate
9 of the marketplace facilitator.

10 (8) A marketplace facilitator is relieved of liability under
11 this section if the marketplace facilitator demonstrates, to the
12 satisfaction of the department, that the tax levied under this act
13 on a sale facilitated by the marketplace facilitator was paid to
14 the department by the marketplace seller or provides a claim of
15 exemption provided by the marketplace seller's purchaser.

16 (9) A marketplace seller is not liable for the tax imposed by
17 this act on sales made through a marketplace facilitator required
18 to collect and remit tax under subsection (1) unless the
19 marketplace seller fails to provide the marketplace facilitator
20 with sufficient information to the extent that the marketplace
21 facilitator is not liable under subsection (7).

22 (10) This section applies regardless of whether the
23 marketplace facilitator has a physical presence in this state.

24 (11) As used in this section:

25 (a) "Affiliate" means an affiliated person as that term is
26 defined in section 5a.

27 (b) **"Listed residential property" means a cabin, house,**
28 **trailer, vehicle, or structure, or portion thereof, that is used,**
29 **or designed to be used, as a residence or home of 1 or more**



1 **individuals. Listed residential property does not include a hotel**
 2 **or motel, or portion thereof, regardless of whether 1 or more rooms**
 3 **in the hotel or motel are individually owned.**

4 (c) ~~(b)~~—"Marketplace facilitator" means a person that meets
 5 the requirements of subparagraph (i), but does not include a person
 6 described in subparagraph (ii), (iii), or (iv):

7 (i) A person is a marketplace facilitator if the person
 8 facilitates a retail sale by a marketplace seller by listing or
 9 advertising for sale by a marketplace seller in a marketplace,
 10 tangible personal property or taxable services and either directly
 11 or indirectly through agreements or arrangements with third parties
 12 or its affiliates collecting payment from the customer and
 13 transmitting that payment to the marketplace seller for
 14 consideration.

15 (ii) Marketplace facilitator does not include a person who
 16 operates a platform or forum that provides internet, print,
 17 electronic, or any other form of advertising services, including
 18 listing tangible personal property or services for sale, if the
 19 person does not also engage directly or indirectly, through 1 or
 20 more affiliates, in the activities described in subparagraph (i).

21 (iii) A person is not a marketplace facilitator with respect to
 22 the sale of or charges for rooms, lodgings, or accommodations **that**
 23 **are** described in section 3a ~~if the rooms, lodgings, or~~
 24 ~~accommodations are provided by a hotelkeeper, motel operator, or~~
 25 ~~other person that is registered under section 5 or licensed under~~
 26 ~~section 3 of the general sales tax act, 1933 PA 167, MCL 205.53.~~**and**
 27 **are not listed residential property.**

28 (iv) A person is not a marketplace facilitator with respect to
 29 the sale of telecommunications services as described in section 3a.



1 (d) ~~(e)~~—"Marketplace seller" means a person that makes retail
2 sales through a physical or electronic marketplace operated by a
3 marketplace facilitator.

4 Sec. 5d. (1) A marketplace facilitator that facilitates the
5 sale of listed residential properties in this state during a
6 covered period shall, not later than 30 days after the end of the
7 covered period, provide or make available to each marketplace
8 seller for whom sales are facilitated the amount of the gross sales
9 facilitated during the covered period by the marketplace
10 facilitator for each listed residential property of the marketplace
11 seller. The information described in this subsection may be
12 provided in any format.

13 (2) As used in this section:

14 (a) "Covered period" means a calendar year or, at the election
15 of the marketplace facilitator, a period less than a calendar year.

16 (b) "Listed residential property", "marketplace facilitator",
17 and "marketplace seller" mean those terms as defined in section 5c.